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ACCOUNTING PRINCIPLES

TWELFTH EDITION

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WILEY

4 Completing the Accounting Cycle

Learning Objectives

1. Prepare a worksheet.
2. Prepare closing entries and a post-closing trial balance.
3. Explain the steps in the accounting cycle and how to prepare correcting entries.
4. Identify the sections of a classified balance sheet.

LEARNING OBJECTIVE 1

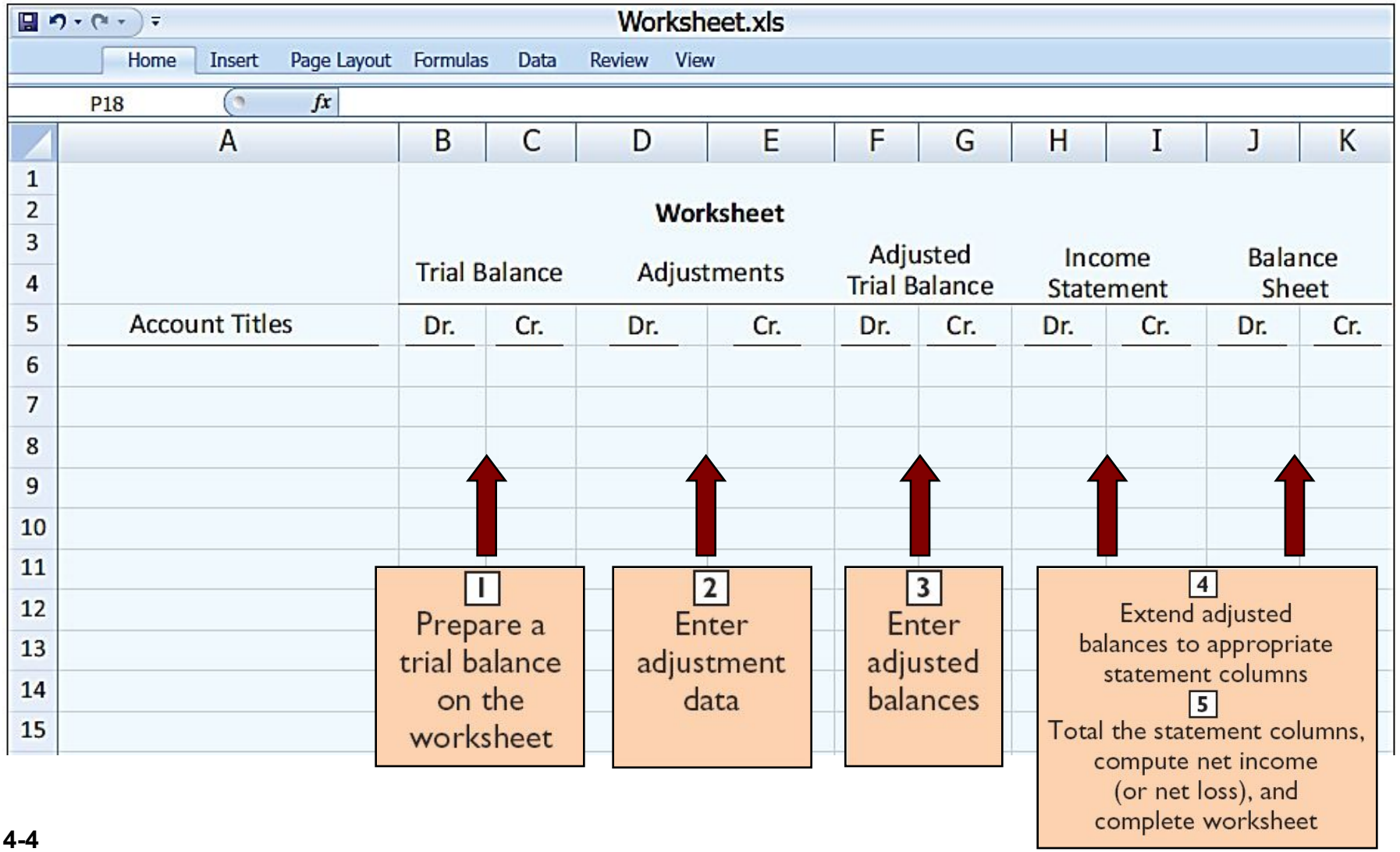
Prepare a worksheet.

Worksheet

- Multiple-column form used in preparing financial statements.
- Not a permanent accounting record.
- May be a computerized worksheet using an electronic spreadsheet program such as Excel.
- Prepared using a five step process.
- Use of worksheet is optional.

Steps in Preparing a Worksheet

Illustration 4-1



Steps in Preparing a Worksheet

Illustration 4-2

STEP 1: PREPARE A TRIAL BALANCE ON THE WORKSHEET

	Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Balance Sheet	
Account Titles	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
Cash	15,200									
Supplies	2,500									
Prepaid Insurance	600									
Equipment	5,000									
Notes Payable		5,000								
Accounts Payable		2,500								
Unearned Revenue		1,200								
Owner's Capital		10,000								
Owner's Drawings	500									
Service Revenue		10,000								
Salaries and Wages Exp.	4,000									
Rent Exp.	900									
Totals	28,700	28,700								

Trial balance amounts come directly from ledger accounts.

Include all accounts with balances.

LO 1

Steps in Preparing a Worksheet

Illustration 3-23
General journal showing adjusting entries

Adjusting Journal Entries

(Chapter 3)

GENERAL JOURNAL J2

Date	Account Titles and Explanation	Ref.	Debit	Credit
2017	Adjusting Entries			
Oct. 31	Supplies Expense	631	1,500	
	Supplies	126		1,500
	(To record supplies used)			
31	Insurance Expense	722	50	
	Prepaid Insurance	130		50
	(To record insurance expired)			
31	Depreciation Expense	711	40	
	Accumulated Depreciation—Equipment	158		40
	(To record monthly depreciation)			
31	Unearned Service Revenue	209	400	
	Service Revenue	400		400
	(To record revenue for services performed)			
31	Accounts Receivable	112	200	
	Service Revenue	400		200
	(To record revenue for services performed)			
31	Interest Expense	905	50	
	Interest Payable	230		50
	(To record interest on notes payable)			
31	Salaries and Wages Expense	726	1,200	
	Salaries and Wages Payable	212		1,200
	(To record accrued salaries and wages)			

LO 1

Steps in Preparing a Worksheet

Illustration 4-3

STEP 2: ENTER THE ADJUSTMENTS IN THE ADJUSTMENTS COLUMNS

Account Titles	Trial Balance Dr.	Trial Balance Cr.	Adjustments Dr.	Adjustments Cr.	Adjusted Trial Balance Dr.	Adjusted Trial Balance Cr.	Income Statement Dr.	Income Statement Cr.	Balance Sheet Dr.	Balance Sheet Cr.
Cash	15,200									
Supplies	2,500			(a) 1,500						
Prepaid Insurance	600			(b) 50						
Equipment	5,000									
Notes Payable		5,000								
Accounts Payable		2,500								
Unearned Revenue		1,200	(d) 400							
Owner's Capital		10,000								
Owner's Drawings	500									
Service Revenue		10,000		(d) 400						
				(e) 200						
Salaries and Wages Exp.	4,000		(g) 1,200							
Rent Exp.	900									
Totals	28,700	28,700								
Supplies Expense			(a) 1,500							
Insurance Expense			(b) 50							
Accumulated Depreciation				(c) 40						
Depreciation Expense			(c) 40							
Accounts Receivable			(e) 200							
Interest Expense			(f) 50							
Interest Payable				(f) 50						
Salaries and Wages Payable				(g) 1,200						
Totals			3,440	3,440						

Adjustments Key:

(a) Supplies Used.
(b) Insurance Expired.
(c) Depreciation Expensed.
(d) Service Revenue Recognized.
(e) Service Revenue Accrued.
(f) Interest Accrued.
(g) Salaries Accrued.

Enter adjustment amounts, total adjustments columns, and check for equality.

Add additional accounts as needed.

LO 1

Steps in Preparing a Worksheet

Illustration 4-4

STEP 3: COMPLETE THE ADJUSTED TRIAL BALANCE COLUMNS

Account Titles	Trial Balance Dr.	Trial Balance Cr.	Adjustments Dr.	Adjustments Cr.	Adjusted Trial Balance Dr.	Adjusted Trial Balance Cr.	Income Statement Dr.	Income Statement Cr.	Balance Sheet Dr.	Balance Sheet Cr.
Cash	15,200				15,200					
Supplies	2,500			(a) 1,500	1,000					
Prepaid Insurance	600			(b) 50	550					
Equipment	5,000				5,000					
Notes Payable		5,000				5,000				
Accounts Payable		2,500				2,500				
Unearned Revenue		1,200	(d) 400			800				
Owner's Capital		10,000				10,000				
Owner's Drawings	500				500					
Service Revenue		10,000		(d) 400		10,600				
				(e) 200						
Salaries and Wages Exp.	4,000		(g) 1,200		5,200					
Rent Exp.	900				900					
Totals	28,700	28,700								
Supplies Expense			(a) 1,500		1,500					
Insurance Expense			(b) 50		50					
Accumulated Depreciation				(c) 40		40				
Depreciation Expense			(c) 40		40					
Accounts Receivable			(e) 200		200					
Interest Expense			(f) 50		50					
Interest Payable				(f) 50		50				
Salaries and Wages Payable				(g) 1,200		1,200				
Totals			3,440	3,440	30,190	30,190				
Net Income										
Totals										

Total the adjusted trial balance columns and check for equality.

LO 1

Steps in Preparing a Worksheet

Illustration 4-5

STEP 4: EXTEND AMOUNTS TO FINANCIAL STATEMENT COLUMNS

Account Titles	Trial Balance Dr.	Trial Balance Cr.	Adjustments Dr.	Adjustments Cr.	Adjusted Trial Balance Dr.	Adjusted Trial Balance Cr.	Income Statement Dr.	Income Statement Cr.	Balance Sheet Dr.	Balance Sheet Cr.
Cash	15,200				15,200				15,200	
Supplies	2,500			(a) 1,500	1,000				1,000	
Prepaid Insurance	600			(b) 50	550				550	
Equipment	5,000				5,000				5,000	
Notes Payable		5,000				5,000				5,000
Accounts Payable		2,500				2,500				2,500
Unearned Revenue		1,200	(d) 400			800				800
Owner's Capital		10,000				10,000				10,000
Owner's Drawings	500				500				500	
Service Revenue		10,000		(d) 400		10,600		10,600		
				(e) 200						
Salaries and Wages Exp.	4,000		(g) 1,200		5,200		5,200			
Rent Exp.	900				900		900			
Totals	28,700	28,700								
Supplies Expense			(a) 1,500		1,500		1,500			
Insurance Expense			(b) 50		50		50			
Accumulated Depreciation				(c) 40		40				40
Depreciation Expense			(c) 40		40		40			
Accounts Receivable			(e) 200		200				200	
Interest Expense			(f) 50		50		50			
Interest Payable				(f) 50		50				50
Salaries and Wages Payable				(g) 1,200		1,200				1,200
Totals			3,440	3,440	30,190	30,190	7,740	10,600	22,450	19,590
Net Income										
Totals										

Extend adjusted trial balance amounts to appropriate financial statement columns.

LO 1

Steps in Preparing a Worksheet

Illustration 4-6

STEP 5: TOTAL COLUMNS, COMPUTE NET INCOME (LOSS)

Account Titles	Trial Balance Dr.	Trial Balance Cr.	Adjustments Dr.	Adjustments Cr.	Adjusted Trial Balance Dr.	Adjusted Trial Balance Cr.	Income Statement Dr.	Income Statement Cr.	Balance Sheet Dr.	Balance Sheet Cr.
Cash	15,200				15,200				15,200	
Supplies	2,500			(a) 1,500	1,000				1,000	
Prepaid Insurance	600			(b) 50	550				550	
Equipment	5,000				5,000				5,000	
Notes Payable		5,000				5,000				5,000
Accounts Payable		2,500				2,500				2,500
Unearned Revenue		1,200	(d) 400			800				800
Owner's Capital		10,000				10,000				10,000
Owner's Drawings	500				500				500	
Service Revenue		10,000		(d) 400		10,600		10,600		
				(e) 200						
Salaries and Wages Exp.	4,000		(g) 1,200		5,200		5,200			
Rent Exp.	900				900		900			
Totals	28,700	28,700								
Supplies Expense			(a) 1,500		1,500		1,500			
Insurance Expense			(b) 50		50		50			
Accumulated Depreciation				(c) 40		40				40
Depreciation Expense			(c) 40		40		40			
Accounts Receivable			(e) 200		200				200	
Interest Expense			(f) 50		50		50			
Interest Payable				(f) 50		50				50
Salaries and Wages Payable				(g) 1,200		1,200				1,200
Totals			3,440	3,440	30,190	30,190	7,740	10,600	22,450	19,590
Net Income							2,860			2,860
Totals							10,600	10,600	22,450	22,450

Compute Net Income or Net Loss.

LO 1

Preparing Financial Statements from a Worksheet

- Income statement is prepared from the income statement columns.
- Balance sheet and owner's equity statement are prepared from the balance sheet columns.
- Companies can prepare financial statements before they journalize and post adjusting entries.

Preparing Statements from a Worksheet



PIONEER ADVERTISING
Income Statement
For the Month Ended October 31, 2017

Revenues		
Service revenue		$10,600
Expenses		
Salaries and wages expense	$5,200	
Supplies expense	1,500	
Rent expense	900	
Insurance expense	50	
Interest expense	50	
Depreciation expense	40	
Total expenses		7,740
Net income		$ 2,860

Illustration 4-7
Financial statements from a worksheet

Preparing Statements from a Worksheet



PIONEER ADVERTISING
Owner's Equity Statement
For the Month Ended October 31, 2017

Owner's capital, October 1		$ –0–
Add: Investments	$10,000	
Net income	2,860	12,860
		12,860
Less: Drawings		500
Owner's capital, October 31		$12,360

Illustration 4-7
Financial statements from a worksheet



PIONEER ADVERTISING

Balance Sheet

October 31, 2017

Illustration 4-7

Assets		
Cash		$15,200
Accounts receivable		200
Supplies		1,000
Prepaid insurance		550
Equipment	$5,000	
Less: Accumulated depreciation—equipment	40	4,960
Total assets		$21,910
Liabilities and Owner's Equity		
Liabilities		
Notes payable	$5,000	
Accounts payable	2,500	
Interest payable	50	
Unearned service revenue	800	
Salaries and wages payable	1,200	
Total liabilities		$ 9,550
Owner's equity		
Owner's capital		12,360
Total liabilities and owner's equity		$21,910

LO 1

Preparing Adjusting Entries from a Worksheet

- Adjusting entries are prepared from the adjustments columns of the worksheet.
- Journalizing and posting of adjusting entries **follows** the preparation of financial statements when a worksheet is used.

LEARNING OBJECTIVE 2

Prepare closing entries and a post-closing trial balance.

At the end of the accounting period, the company makes the accounts ready for the next period.

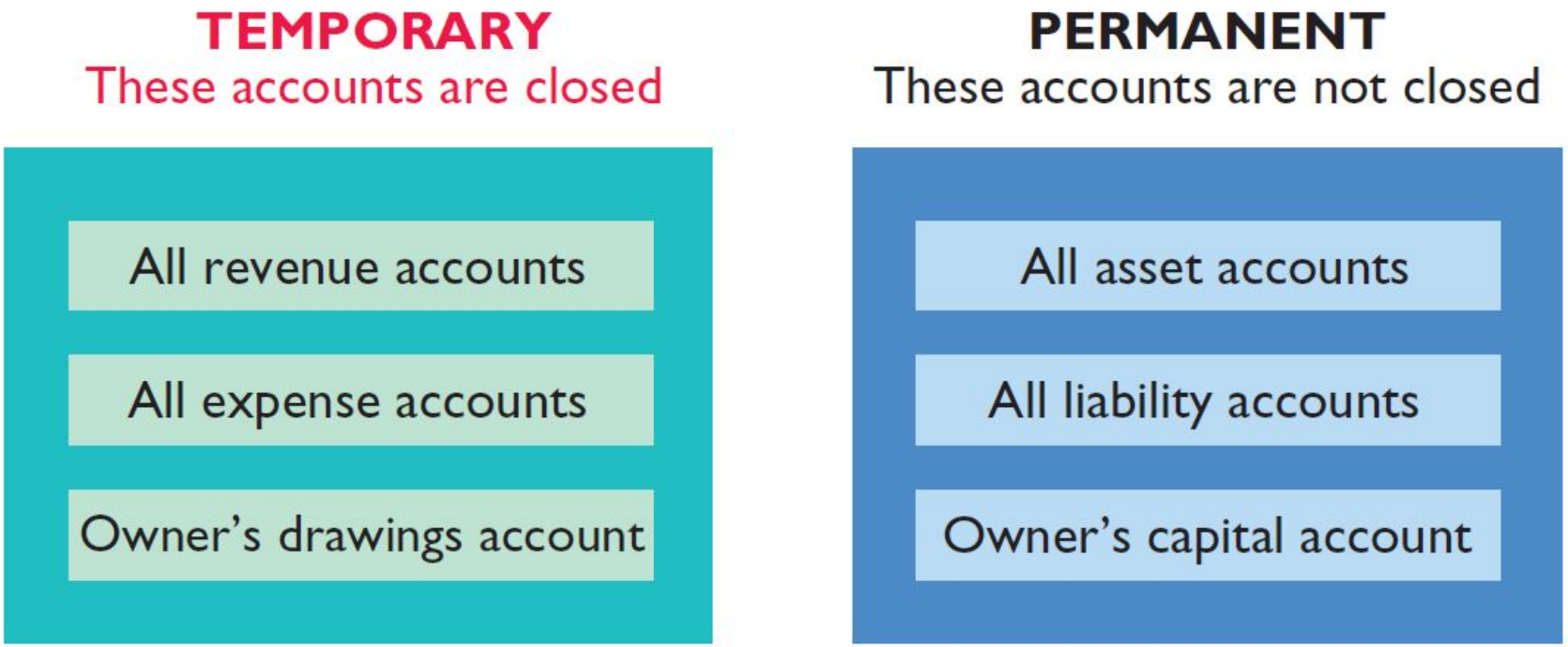


Illustration 4-8
Temporary versus permanent accounts

LO 2

Preparing Closing Entries

Closing entries formally recognize in the ledger the transfer of

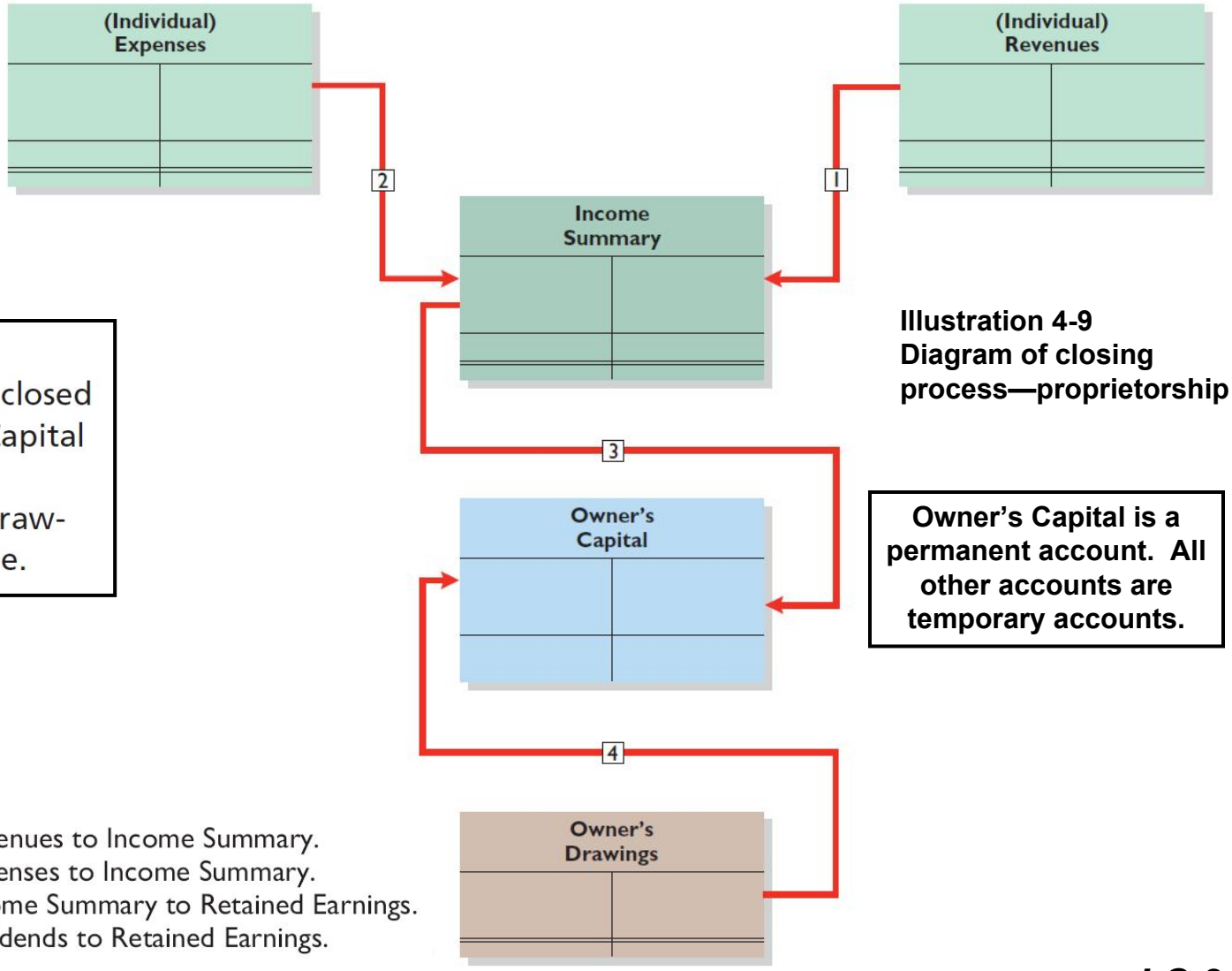
- net income (or net loss) and
- owner's drawings

to owner's capital.

Companies generally journalize and post closing entries only at the end of the annual accounting period.

Closing entries produce a zero balance in each temporary account.

Preparing Closing Entries



Helpful Hint
Owner's Drawings is closed directly to Owner's Capital and not to Income Summary. Owner's Drawings is not an expense.

Illustration 4-9
Diagram of closing process—proprietorship

Owner's Capital is a permanent account. All other accounts are temporary accounts.

Key:
1 Close Revenues to Income Summary.
2 Close Expenses to Income Summary.
3 Close Income Summary to Retained Earnings.
4 Close Dividends to Retained Earnings.

LO 2

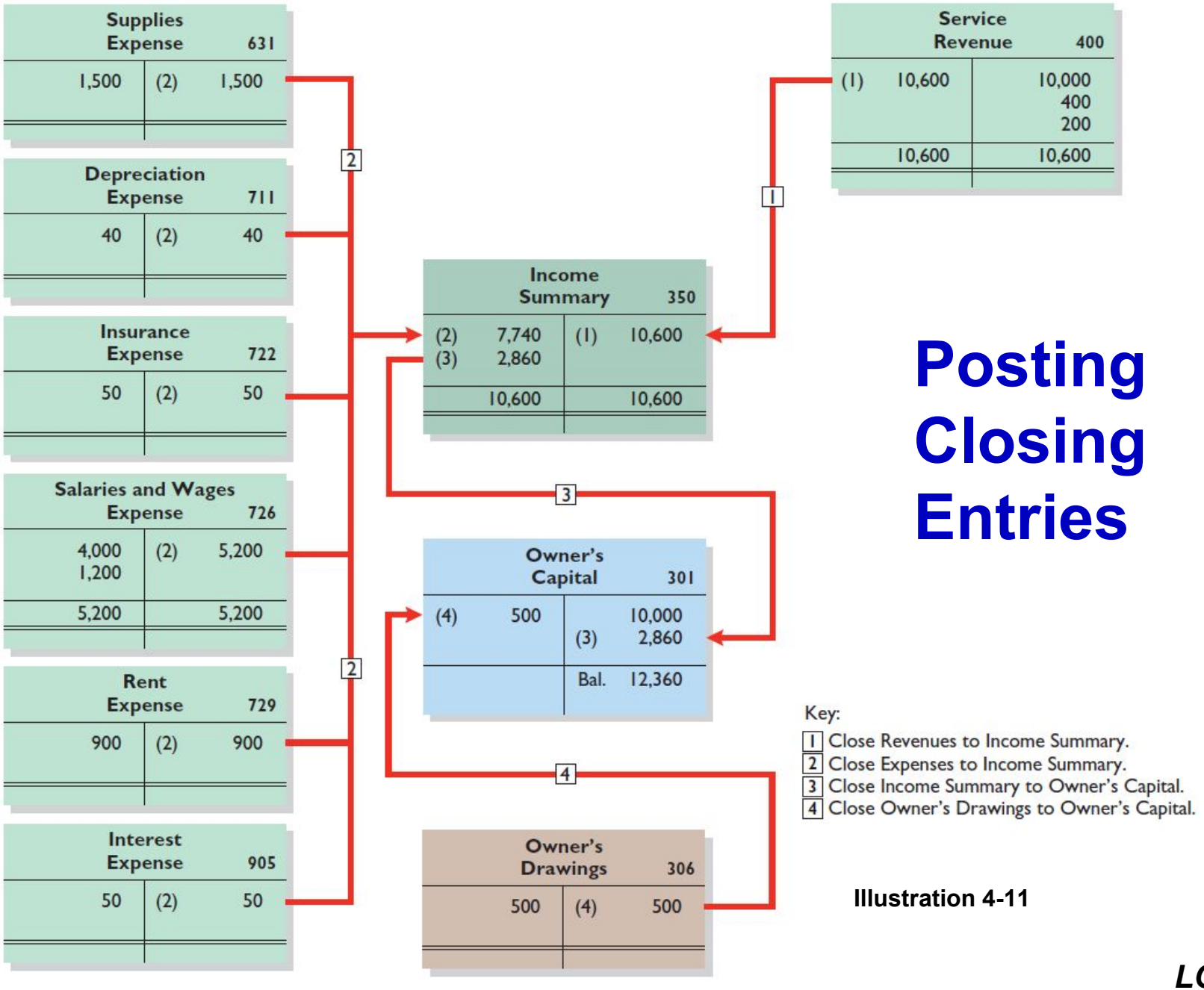
Preparing Closing Entries

CLOSING ENTRIES ILLUSTRATED

GENERAL JOURNAL J3

Date	Account Titles and Explanation	Ref.	Debit	Credit
	Closing Entries			
2017	(1)			
Oct. 31	Service Revenue	400	10,600	
	Income Summary	350		10,600
	(To close revenue account)			
	(2)			
31	Income Summary	350	7,740	
	Supplies Expense	631		1,500
	Depreciation Expense	711		40
	Insurance Expense	722		50
	Salaries and Wages Expense	726		5,200
	Rent Expense	729		900
	Interest Expense	905		50
	(To close expense accounts)			
	(3)			
31	Income Summary	350	2,860	
	Owner's Capital	301		2,860
	(To close net income to capital)			
	(4)			
31	Owner's Capital	301	500	
	Owner's Drawings	306		500
	(To close drawings to capital)			

Illustration 4-10 Closing entries journalized



Posting Closing Entries

Illustration 4-11

LO 2

Preparing a Post-Closing Trial Balance

Purpose is to prove the equality of the permanent account balances carried forward into the next accounting period.

Illustration 4-12
Post-closing trial balance



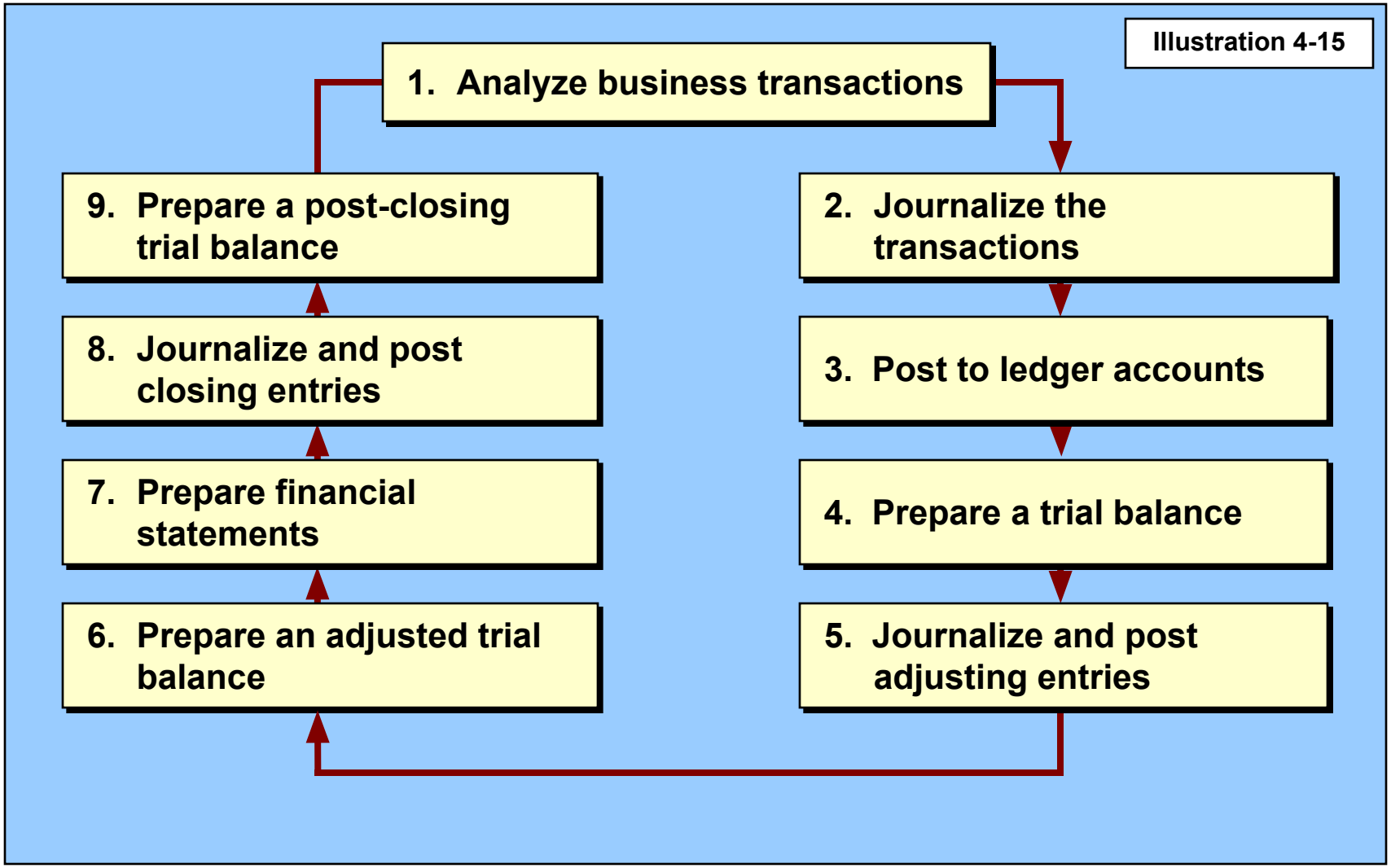
PIONEER ADVERTISING
Post-Closing Trial Balance
October 31, 2017

	Debit	Credit
Cash	$ 15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		$ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Owner's Capital		12,360
	$21,950	$21,950

LO 2

LEARNING OBJECTIVE 3

Explain the steps in the accounting cycle and how to prepare correcting entries.



LO 3

Correcting Entries—An Avoidable Step

- Unnecessary if accounting records are free of errors.
- Made whenever an error is discovered.
- Must be posted before closing entries.

Instead of preparing a correcting entry, **it is possible to reverse the incorrect entry and then prepare the correct entry**.

Correcting Entries—An Avoidable Step

CASE 1: On May 10, Mercato Co. journalized and posted a $50 cash collection on account from a customer as a debit to Cash $50 and a credit to Service Revenue $50. The company discovered the error on May 20, when the customer paid the remaining balance in full.

Incorrect entry

Cash	50	
Service Revenue		50

Correct entry

Cash	50	
Accounts Receivable		50

Correcting entry

Service Revenue	50	
Accounts Receivable		50

Correcting Entries—An Avoidable Step

CASE 2: On May 18, Mercato purchased on account equipment costing $450. The transaction was journalized and posted as a debit to Equipment $45 and a credit to Accounts Payable $45. The error was discovered on June 3.

Incorrect entry	Equipment	45	
	Accounts Payable		45
Correct entry	Equipment	450	
	Accounts Payable		450
Correcting entry	Equipment	405	
	Accounts Payable		405

DO IT! 3 Correcting Entries

Sanchez Company discovered the following errors made in January 2017 .

1. A payment of Salaries and Wages Expense of $600 was debited to Supplies and credited to Cash, both for $600.
2. A collection of $3,000 from a client on account was debited to Cash $200 and credited to Service Revenue $200.
3. The purchase of supplies on account for $860 was debited to Supplies $680 and credited to Accounts Payable $680.

Correct the errors without reversing the incorrect entry.

DO IT! 3 Correcting Entries

Sanchez Company discovered the following errors made in January 2017 .

1. A payment of Salaries and Wages Expense of $600 was debited to Supplies and credited to Cash, both for $600.

Correct the error without reversing the incorrect entry.

Salaries and Wages Expense	600	
Supplies		600

DO IT! 3 Correcting Entries

Sanchez Company discovered the following errors made in January 2017 .

2. A collection of $3,000 from a client on account was debited to Cash $200 and credited to Service Revenue $200.

Correct the error without reversing the incorrect entry.

Service Revenue	200	
Cash	2,800	
Accounts Receivable		3,000

DO IT! 3 Correcting Entries

Sanchez Company discovered the following errors made in January 2017 .

3. The purchase of supplies on account for $860 was debited to Supplies $680 and credited to Accounts Payable $680.

Correct the error without reversing the incorrect entry.

Supplies ($860 - $680)	180	
Accounts Payable		180

LEARNING OBJECTIVE 4

Identify the sections of a classified balance sheet.

- Presents a snapshot at a point in time.
- To improve understanding, companies group similar assets and similar liabilities together.

Standard Classifications

Illustration 4-20

Assets	Liabilities and Owner's Equity
Current assets	Current liabilities
Long-term investments	Long-term liabilities
Property, plant, and equipment	Owner's (Stockholders') equity
Intangible assets	

The Classified Balance Sheet

FRANKLIN COMPANY
Balance Sheet
October 31, 2017

Illustration 4-21

Assets			
Current assets			
Cash		$ 6,600	
Debt investments		2,000	
Accounts receivable		7,000	
Notes receivable		1,000	
Inventory		3,000	
Supplies		2,100	
Prepaid insurance		400	
Total current assets			$22,100
Long-term investments			
Stock investments		5,200	
Investment in real estate		2,000	7,200
Property, plant, and equipment			
Land		10,000	
Equipment	$24,000		
Less: Accumulated depreciation—equipment	5,000	19,000	29,000
Intangible assets			
Patents			3,100
Total assets			$61,400

LO 4

The Classified Balance Sheet

FRANKLIN COMPANY
Balance Sheet
October 31, 2017

Illustration 4-21

Liabilities and Owner's Equity		
Current liabilities		
Notes payable	$11,000	
Accounts payable	2,100	
Unearned service revenue	900	
Salaries and wages payable	1,600	
Interest payable	450	
Total current liabilities		$16,050
Long-term liabilities		
Mortgage payable	10,000	
Notes payable	1,300	
Total long-term liabilities		11,300
Total liabilities		27,350
Owner's equity		
Owner's capital		34,050
Total liabilities and owner's equity		$61,400

Current Assets

- Assets that a company expects to **convert to cash** or **use up** within one year or the operating cycle, whichever is longer.
- **Operating cycle** is the average time that it takes to purchase inventory, sell it on account, and then collect cash from customers.

Current Assets

Illustration 4-22

Real World

SOUTHWEST AIRLINES CO.
Balance Sheet (partial)
(in millions)

Current assets	
Cash and cash equivalents	$1,390
Short-term investments	369
Accounts receivable	241
Inventories	181
Prepaid expenses and other current assets	420
Total current assets	$2,601

Usually listed in the order they expect to convert them into cash.

LO 4

Long-Term Investments

- Investments in stocks and bonds of other companies.
- Investments in long-term assets such as land or buildings that is not currently being used in operating activities.
- Long-term notes receivable.

Illustration 4-23

Real World

YAHOO! INC.
Balance Sheet (partial)
(in thousands)

Long-term investments	
Investments in securities	$90,266

LO 4

Property, Plant, and Equipment

- Long useful lives.
- Currently used in operations.
- **Depreciation** - allocating the cost of assets to a number of years.
- **Accumulated depreciation** - total amount of depreciation expensed thus far in the asset's life.

Alternative Terminology
Property, plant, and equipment is sometimes called *fixed assets* or *plant assets.*

Property, Plant, and Equipment

Real World

COOPER TIRE & RUBBER COMPANY
Balance Sheet (partial)
(in thousands)

Property, plant, and equipment		
Land and land improvements	$ 41,553	
Buildings	298,706	
Machinery and equipment	1,636,091	
Molds, cores, and rings	268,158	$2,244,508
Less: Accumulated depreciation		1,252,692
		$ 991,816

Illustration 4-24

LO 4

Intangible Assets

- Long-lived assets that do not have physical substance.

Real World

TIME WARNER, INC.
Balance Sheet (partial)
(in millions)

Intangible assets	
Goodwill	$40,953
Film library	2,690
Customer lists	2,540
Cable television franchises	38,048
Sports franchises	262
Brands, trademarks, and other intangible assets	8,313
	$92,806

Illustration 4-25

Current Liabilities

- Obligations the company is to pay within the coming year or its operating cycle, whichever is longer.
- Usually list notes payable first, followed by accounts payable. Other items follow in order of magnitude.
- Common examples are accounts payable, salaries and wages payable, notes payable, interest payable, income taxes payable current maturities of long-term obligations.
- **Liquidity** - ability to pay obligations expected to be due within the next year.

Current Liabilities

Real World

MARCUS CORPORATION
Balance Sheet (partial)
(in thousands)

Current liabilities	
Notes payable	$ 239
Accounts payable	24,242
Current maturities of long-term debt	57,250
Other current liabilities	27,477
Income taxes payable	11,215
Salaries and wages payable	6,720
Total current liabilities	$127,143

Illustration 4-26

Long-Term Liabilities

- Obligations a company expects to pay **after** one year.

Real World

THE PROCTER & GAMBLE COMPANY
Balance Sheet (partial)
(in millions)

Long-term liabilities	
Long-term debt	$23,375
Deferred income taxes	12,015
Other noncurrent liabilities	5,147
Total long-term liabilities	$40,537

Illustration 4-27

Owner's Equity

- Proprietorship - one capital account.
- Partnership - capital account for each partner.
- Corporation - Common Stock and Retained Earnings.

Real World

NORDSTROM, INC.
Balance Sheet (partial)
($ in thousands)

Stockholders' equity	
Common stock, 271,331 shares	$ 685,934
Retained earnings	1,406,747
Total stockholders' equity	$2,092,681

Illustration 4-28